

DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT

SUBJECT: Final Project-Specific Nonavailability Waiver of Build America Buy America Act (BABA) Requirements to the Stables Affordable Housing Project for HVAC Equipment (HUD Waiver #W-0000102)

Introduction

The U.S. Department of Housing and Urban Development (HUD) is issuing a final BABA waiver to an assistance recipient based on nonavailability of a single product for a single project.

Solicitation of Public Comment

The proposed waiver was posted on HUD's public facing webpage and a notice of the proposed waiver was posted to the Made in America website from June 24, 2026 to July 9, 2026, thus satisfying the requirement to publish any BABA project waiver and provide the public with fifteen (15) days to submit comments. HUD did not receive any public comments on this waiver during the public comment period. Therefore, no changes were made to the proposed waiver, except to replace references to the “proposed waiver” with references to the “final waiver.”

Background

The Buy America Preference set forth in section 70914 of BABA included in the Infrastructure Investment and Jobs Act (IIJA) (Pub. L. No. 117-58), requires that all iron, steel, manufactured products, and construction materials used for infrastructure projects under Federal financial assistance awards be produced in the United States.

Under section 70914(b), HUD may waive the application of the Buy America Preference (BAP), in any case in which it finds that: applying the domestic content procurement preference would be inconsistent with the public interest; types of iron, steel, manufactured products, or construction materials are not produced in the United States in sufficient and reasonably available quantities or of a satisfactory quality; or the inclusion of iron, steel, manufactured products, or construction materials produced in the United States would increase the cost of the overall project by more than twenty-five (25) percent. All waivers must have a written explanation for the proposed determination; provide a period of not less than fifteen (15) days for public comment on the waiver; and be submitted to the Office of Management and Budget’s (OMB) Made in America Office for review to determine if the waiver is consistent with policy.

Summary

Final Waiver: HUD is soliciting comments regarding whether to issue a project waiver of the requirements of section 70914 of BABA included in the IIJA, for fire suppression components in an infrastructure project funded through the HOME Investment Partnerships Program (HOME) and the Housing Trust Fund (HTF).

Waiver Type: Nonavailability of domestic products in sufficient and reasonably available quantities or of a satisfactory quality.

Waiver Level and Scope: Project-level waiver for multiple products for a single project. No other project will utilize the waiver.

Waiver Description: Project-specific nonavailability waiver of BABA requirements to the Stables affordable housing project in Aurora, Colorado for HVAC equipment.

Project Summary: The project is located at 10850 E. Exposition Ave. in Aurora, Colorado. The project consists of the construction of 85 affordable housing units in a single multifamily residential building.

Length of the Waiver: From August 10, 2026, until the completion of the project, which is anticipated to be September 30, 2027.

Items Covered in Waiver: The Colorado Department of Housing and Arapahoe County are being issued a waiver for HVAC equipment, as described in detail below:

- **HVAC Equipment**
 - Category: Manufactured Product
 - Quantity:
 - 216 residential unit exhaust fans
 - 2 mechanical room exhaust fans
 - 2 trash room exhaust fans
 - 2 common-area exhaust fans
 - 7 split HVAC units
 - 159 PTAC units
 - 102 baseboard heaters
 - 7 fan coil units
 - PSC: 4120 – Air Conditioning Equipment
 - NAICS: 333415 – Air-Conditioning and Warm Air Heating Equipment and Commercial and Industrial Refrigeration Equipment Manufacturing
 - Technical Specifications: Suitable for a multifamily residential building

Description of Efforts Made to Avoid the Need for a Waiver

Both the grantee and HUD made every effort to obtain domestically produced HVAC equipment.

The project development team engaged the Oklahoma Manufacturing Alliance (OMA), Oklahoma's official Manufacturing Extension Partnership (MEP), to execute comprehensive, strategic sourcing for compliance with Build America, Buy America (BABA) provisions. OMA's sourcing methodology was multifaceted, involving two primary components: National Institute of Standards and Technology (NIST) Supplier Scouting Program, and extensive independent market research. This research leveraged three key information assets to identify eligible domestic manufacturers: the OMA's proprietary internal database, the Connex platform, and the Small Business Administration (SBA)-funded Made in America Portal. Through these efforts, OMA identified and contacted 5 companies that fit the general capabilities to produce similar items. The grantee completed market research for 30 days in September 2025 which consisted of outreach to total of five (5) manufacturers or suppliers of HVAC equipment. None of the manufacturers or

suppliers were able to provide BABA-compliant products that met the technical specifications of the project.

Similarly, HUD conducted an online search of manufacturers and suppliers and did not locate any manufacturers or suppliers that could provide BABA-compliant products.

Anticipated Impact if No Waiver is Issued

Failure to grant this BABA waiver would significantly jeopardize the 85-unit affordable housing development, as the HVAC system is essential to meeting code requirements for ventilation, temperature control, and indoor air quality, all of which are necessary for habitability and occupancy certification. The HVAC system is also critical to fulfilling ADA-related accessibility obligations by ensuring safe, stable environmental conditions for residents, including those who are medically vulnerable or have disabilities. Without the ability to procure the required HVAC components, the project cannot meet health and safety standards, energy-efficiency expectations, or long-term building performance requirements. As a result, lack of a waiver would delay or halt construction, threaten compliance with funding and regulatory obligations, and ultimately prevent the project from providing safe, accessible, and affordable housing to the intended community.

HUD additionally believes this waiver is justified because most items used in this project will be compliant with BABA. This waiver is for items whose total value is 1.5 percent of the total infrastructure expenditure for this project. Approval of this waiver will ensure that the remainder of materials costs support BABA-compliant manufacturers, consistent with the intent of BABA.

Assessment of Cost Advantage of a Foreign-Sourced Product Under OMB M-24-02, agencies are expected to assess "whether a significant portion of any cost advantage of a foreign-sourced product is the result of the use of dumped steel, iron, or manufactured products or the use of injuriously subsidized steel, iron, or manufactured products" as appropriate before granting a public interest waiver. HUD has concluded that this assessment is not applicable to this waiver as this waiver is not based on the cost of foreign-sourced products.

Description of Award

Agency: United States Department of Housing and Urban Development (HUD)

Common Governmentwide Accounting Classification (CGAC) Code: 086

Title of Project: The Stables Affordable Housing Project

Recipient Name: Colorado Department of Local Affairs; Arapahoe County Government

Unique Entity Identifier (UEI): NUJ5Q3DW7U98, NENNKAE18LK6

Federal Award Identification Number (FAIN): F-24-SG-08-0100; M-24-DC-08-0221

Financial Assistance Listing Name: Housing Trust Fund, HOME Investment Partnerships Program

Assistance Listing Number: 14.275; 14.239

Federal Financial Assistance Funding Amount: \$1,000,000.00; \$272,590.00 (\$1,272,590.00 total)

Total Estimated Infrastructure Expenditures: \$46,643,565.00